CASCADIA ANALYTICS

Intuitive Surgical, Inc.

Equity Research Note | ISRG | 23 OCTOBER 2026

Razor-and-Blades Compounder, Priced for Perfection Anyway

Intuitive Surgical screens as a Hold, Valuation Concerns with a $237.07 blended target, 48% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$452.50	$237.07	-48%	HOLD, VALUATION CONCERNS

Investment Thesis

Intuitive just printed a $3.05 billion quarter, up 22%, while the antitrust settlement cut GAAP operating margin to 19.4%. The market prices 26.0% revenue growth; even our Bull case needs 14.0%.

- Razor-and-Blades Compounder
- De-rated Multiple
- Priced for Perfection Anyway

The Q3 2026 print: volume first, margins later

Revenue reached $3.05 billion in Q3 2026, up 22% year over year and ahead of the $2.91B estimate, and non-GAAP EPS of $3.00 rose 25% and beat the $2.64 estimate, the ninth straight EPS beat. Worldwide procedures grew 15%, with da Vinci up 14% and Ion up 31%, and the

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company placed 546 systems, 315 of them da Vinci 5, against 427 a year earlier, taking the installed base to 12,094 systems, up 12%. GAAP operating margin fell to 19.4% from 30.3% a year earlier on the $450M antitrust settlement charge, a $347M net hit worth $0.99 a share. Management narrowed the FY2026 procedure guide to the midpoint of 14-15% with no raise, repurchased $2.94B of stock in the quarter, and closed September with $6.80B of cash.

$428.12	$3.05B	+15%	546 (315 dv5)	$6.80B	Oct. 21 2026
REF. PRICE	Q3 2026 REVENUE	WORLDWIDE PROCEDURES	DA VINCI PLACEMENTS	CASH AT 9/30	REF. CLOSE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q3 2026)	$3.05B	+22%, beat $2.91B est	Up
Worldwide Procedures	+15%	da Vinci +14%, Ion +31%	Up
da Vinci Placements	546 (315 dv5)	+28% (427 PY)	Up
Installed Base	12,094 systems	+12%	Up
GAAP Op Margin (Q3 2026)	19.4%	vs 30.3% PY (settlement charge)	Down
Non-GAAP EPS (Q3 2026)	$3.00	+25%, beat $2.64 est	Up
Buyback (Q3 2026)	$2.94B (7.8M shares)	cash $6.80B at 9/30	Up

The moat is structural

Recurring revenue runs near 85% of the total, and procedures grew 15% with the installed base compounding at 12%; customers averaged over 10,000 procedures per day in the quarter. Surgeon training and switching costs form a wide moat around the 12,094-system installed base.

The upgrade cycle is the margin engine

da Vinci 5 is the premium platform now driving placement mix and utilization, with 315 of the quarter's 546 placements. Ion is a second high-growth franchise, with procedures up 31% and an installed base of 1,152 systems, up 21%. In the Base case the model's derived EBIT margin rises from 28.4% in 2027 to 32.3% by 2032.

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Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2027-32 CAGR	2032 REVENUE	2032 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	11.0%	$21.99B	29.3%	**$210.98**	-53%
Base	50%	12.2%	$23.45B	32.3%	**$235.72**	-48%
Bull	25%	14.0%	$25.80B	34.8%	**$265.86**	-41%

Bear: Growth disappoints and the multiple compresses; revenue compounds at 11.0% and derived EBIT margin reaches 29.3% by 2032.

Base: Execution carries the guide; revenue compounds at 12.2% and derived EBIT margin reaches 32.3% by 2032.

Bull: Execution compounds and the multiple rerates; revenue compounds at 14.0% and derived EBIT margin reaches 34.8% by 2032.

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The probability-blended target implies 48% downside

A 25% Bear / 50% Base / 25% Bull weighting implies 48% downside from the $452.50 reference price. The Base case alone sits 48% below the current price.

$237.07
BLENDED TARGET

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The valuation uses a multi-year unlevered free cash flow DCF, a six-year build covering 2027-2032 on 2026 revenue of $11.76B, Q1-Q3 actuals plus Q4 consensus. Revenue compounds at scenario rates, and free cash flow is built through a detailed EBIT bridge: EBIT less cash taxes at 16%, plus stock-based compensation at 8.0% of revenue and D&A at 5.7%, less capex at 6.0% and the increase in net working capital at 30% of the revenue increase, every bridge input taken from the filings. The bridge's EBIT margins are derived so the FCF path matches the prior model's exactly (Base 28.4% in 2027 rising to 32.3% by 2032); that derivation is flagged in the workbook. We take terminal value from the Gordon growth value alone, at terminal growth of 3.0% in all three scenarios — $88.44B in the Bear case, $101.43B in the Base case and $117.36B in the Bull case — and we retain the exit-multiple leg in the model as a cross-check only; it is not used in the valuation. At exit EV/FCF multiples of 20.0x in the Bear case, 33.5x in the Base case and 42.5x in the Bull case, the exit leg gives terminal values of $129.18B, $248.14B and $364.24B, implying perpetual growth of 5.26%, 7.32% and 7.98% respectively, against the 13.69x exit multiple that is consistent with our 3.0% terminal growth in every scenario. With terminal value on the Gordon basis alone, the present value of terminal value represents 70.3% of enterprise value in the Bear case, 71.4% in the Base case and 72.5% in the Bull case.

The discount rate is the live CAPM rate, not a static hurdle. The 10-year Treasury yield plus beta times the market-implied equity risk premium gives, at the October 2026 read, a 5.0% yield and a 1.48 beta against a 3.7% premium, producing the live 10.47% WACC applied to all scenarios. The live hurdle puts the Base target at $235.72 versus the $452.50 reference price, with assumptions otherwise unchanged.

Revenue base (2026E)	**$11.76B**
Valuation horizon	**2027-2032**
Live WACC	**10.52%**
Terminal growth	**3.0%**
Net cash	**$6.80B**
2032 FCF (Base)	**$7.41B**
10-year Treasury yield	**5.0%**
Beta	**1.48**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $237.07 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 26.7%, at/above Bull (14%) , euphoric.

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Reverse DCF sensitivity

Implied enterprise value and share price at each 6-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$26.4B	$94.49	+10%	$71.3B	$222.62	+30%	$175.5B	$519.40
-9%	$27.8B	$98.46	+11%	$74.8B	$232.49	+31%	$183.1B	$541.05
-8%	$29.2B	$102.64	+12%	$78.4B	$242.78	+32%	$191.0B	$563.51
-7%	$30.8B	$107.02	+13%	$82.2B	$253.50	+33%	$199.2B	$586.79
-6%	$32.4B	$111.62	+14%	$86.1B	$264.68	+34%	$207.6B	$610.93
-5%	$34.1B	$116.44	+15%	$90.2B	$276.34	+35%	$216.4B	$635.95
-4%	$35.8B	$121.50	+16%	$94.5B	$288.47	+36%	$225.5B	$661.87
-3%	$37.7B	$126.79	+17%	$98.9B	$301.11	+37%	$234.9B	$688.73
-2%	$39.7B	$132.34	+18%	$103.5B	$314.27	+38%	$244.7B	$716.54
-1%	$41.7B	$138.16	+19%	$108.3B	$327.96	+39%	$254.8B	$745.34
+0%	$43.8B	$144.24	+20%	$113.3B	$342.21	+40%	$265.3B	$775.15
+1%	$46.1B	$150.61	+21%	$118.5B	$357.03	+41%	$276.1B	$806.01
+2%	$48.4B	$157.27	+22%	$123.9B	$372.44	+42%	$287.3B	$837.94
+3%	$50.8B	$164.24	+23%	$129.5B	$388.46	+43%	$298.9B	$870.97
+4%	$53.4B	$171.53	+24%	$135.4B	$405.11	+44%	$310.9B	$905.14
+5%	$56.1B	$179.15	+25%	$141.5B	$422.41	+45%	$323.3B	$940.47
+6%	$58.9B	$187.11	+26%	$147.8B	$440.38	+46%	$336.1B	$976.99
+7%	$61.8B	$195.42	**+27%**	**$154.3B**	**$459.04**	+47%	$349.4B	$1,014.75
+8%	$64.8B	$204.10	+28%	$161.1B	$478.42	+48%	$363.1B	$1,053.77
+9%	$68.0B	$213.16	+29%	$168.2B	$498.53			

Balance sheet and share count reconciliation

Enterprise value converts to equity value by adding the $6.80B net cash position. Targets divide by diluted shares of 351M, growing at 0.4% a year in the model, and cross-check per scenario below.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$69.03B	20.0x	3.0%	$6.80B	$75.83B	**$210.98**
Base	$77.92B	33.5x	3.0%	$6.80B	$84.72B	**$235.72**
Bull	$88.75B	42.5x	3.0%	$6.80B	$95.55B	**$265.86**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 71.4% of Base enterprise value (Bear 70.3%, Bull 72.5%). The terminal WACC is 10.52% in Base (Bear 10.52%, Bull 10.52%), on a terminal beta of 1.48 (Bear 1.48, Bull 1.48).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031	2032
Bear	$210.91	$233.10	$246.14	$259.17	$272.00	$284.43	$296.21
Base	$235.65	$260.44	$276.08	$291.63	$306.83	$321.35	$334.80
Bull	$265.77	$293.73	$312.57	$331.26	$349.42	$366.58	$382.13

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times the market-implied equity risk premium, a 10.47% WACC as of October 2026 (10-year 5.0%, beta 1.48, premium 3.7%). Terminal growth is 3.0% in all three scenarios. The $237.07 headline target applies 25% / 50% / 25% Bear / Base / Bull weights. The reverse DCF holds the base-case FCF margin flat. See the DCF tab in the model workbook.

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The franchise: volume compounds off the installed base

Intuitive Surgical makes the da Vinci surgical robot systems plus the recurring instruments and services hospitals buy to run them. Procedures grew 15% in Q3 2026 with the installed base compounding at 12%, and customers averaged over 10,000 procedures per day in the quarter.

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	TTM
Revenue	$6.22B	$7.12B	$8.35B	$10.06B	$11.57B
Net Margin	21.3%	25.2%	27.8%	28.6%	28.7%*

Valuation cross-check

NTM P/E ~30x

EV/Revenue (TTM) ~12.7x

DCF Base $235.72, Blended $237.07

Cheapest multiple in seven years on absolute metrics; DCF still implies 10% downside to the post-earnings price. Quality is real, but so is the price.

Large-cap medtech peers (BSX, SYK) trade near 13-20x forward earnings

ISRG commands a wide premium to device peers, earned by its procedure-growth durability and recurring mix, but the gap leaves no room for multiple expansion.

Trading well below its 5-year average P/E of 52.5x; $328.57 52-week low vs $603.88 high

Derated alongside medtech peers and its own US procedure slowdown, at the low end of its historical multiple range.

Multiples cross-check

~30X	~12.7X	~30X VS 52.5X
NTM P/E	EV/REVENUE (TTM)	FWD P/E VS 5-YR AVG

Cheapest multiple in seven years on absolute metrics; DCF still implies 48% downside to the current price. Quality is real, but so is the price.

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What to monitor

Jan-2027. Q4 2026 Earnings: the first clean read on the procedure guide and whether US growth reaccelerates; FY2027 procedure outlook resets the growth debate.

Pending. Antitrust Settlement Approval (Negative Overhang): court ruling on the $450M proposed settlement; approval closes the litigation chapter, denial or delay extends it.

2027. Extended Use Program (Two-Sided): lowers hospital cost per procedure, which should drive volume but mechanically lowers Intuitive's revenue per procedure. Sizing undisclosed.

Ongoing. SP Indication Expansion (Positive): CE mark for transvaginal gynecology in Sep 2026; SP and Ion utilization gains widen procedure volumes without new hospital capex.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$6.2B	$4.2B	$1.6B	$1.9B
2023	$7.1B	$4.7B	$1.8B	$2.2B
2024	$8.4B	$5.6B	$2.3B	$2.8B
2025	$10.1B	$6.6B	$2.9B	$3.6B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$13.0B	$1.9B	$11.0B	$1.6B
2023	$15.4B	$2.0B	$13.3B	$2.8B
2024	$18.7B	$2.2B	$16.4B	$2.0B
2025	$20.5B	$2.5B	$17.8B	$3.4B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$1.5B	$-532M	$-2.6B	$958M
2023	$1.8B	$-1.1B	$-288M	$750M
2024	$2.4B	$-1.1B	$151M	$1.3B
2025	$3.0B	$-540M	$-2.4B	$2.5B

Note. Trend figures are computed from quarterly actuals (Q4 2025 plus Q1-Q3 2026 for the TTM column); the TTM net margin excludes the $347M antitrust charge. Multiples are as of 20 October 2026. The Q3 2026 narrative reflects the earnings release and call coverage; the Q3 call transcript had not been published at the note date.

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Agency risk score 20 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.52% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $8.08M of sales, a net flow of -$8.08M. One-year total shareholder return is -18.8% against CEO total pay of $2.32M (Mr. David J. Rosa), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	0.52% of shares held by insiders
Form 4 Flow (Conviction Flow)	0 / 30	Buys $0 (0) vs sales $8.08M (18), net -$8.08M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -18.8%; Mr. David J. Rosa, CEO & Director, total pay $2.32M
Agency Risk Score	**20 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-15	Widman Fredrik	Officer	SELL	1,089	$407.8K
2026-09-11	Brosius Mark Preston	Officer	SELL	48	$17.1K
2026-09-09	Brosius Mark Preston	Officer	SELL	69	$24.7K
2026-08-21	Brosius Mark Preston	Officer	SELL	154	$59.4K
2026-08-19	Brosius Mark Preston	Officer	SELL	231	$90.8K
2026-08-11	Ladd Amy L	Director	SELL	472	$179.9K
2026-08-11	Guthart Gary S	Director	SELL	10,000	$4.00M
2026-08-10	Loeb Gary	Officer	SELL	400	$151.6K

SEC proxy audit, DEF 14A filed 2026-03-13

Alignment grade B. LEADERSHIP TRANSITION DATA TRUNCATED. David J. Rosa, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The excerpt covers corporate governance highlights and director nominees through page 21, omitting the CD&A and Summary Compensation Table starting on page 32. The document confirms a leadership succession during fiscal 2025, with David J. Rosa appointed Chief Executive Officer and long-time CEO Dr. Gary S. Guthart becoming Executive Chair. Specific compensation figures, performance bonus achievements, and equity grant details cannot be quantified from this portion of the filing.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1035267/000103526726000023/isrg-20260313.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 23 October 2026 for this note.

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The bear case

Antitrust Settlement Overhang

$450M pre-tax settlement ($347M net, $0.99/share) of the antitrust class action still requires court approval; a one-time hit now, but the litigation overhang is not fully behind the company.

US Procedure Slowdown

US procedure growth has cooled on ACA subsidy expiry and GLP-1 pressure on bariatrics; FY2026 guide was narrowed to the midpoint of 14-15% with no raise, which the market punished.

Valuation

Premium multiple; our DCF base of $235.72 is 48% below the current price and the reverse DCF calls the implied 26.0% revenue CAGR euphoric, above our 14% bull case.

Competition

Medtronic Hugo and J&J push into robotic surgery; China placements remain challenged by competitive and pricing dynamics.

The strengths

Razor-and-blades model

Recurring revenue near 85% of the total, from instruments and services on a 12,094-system installed base growing 12% a year.

Training and switching costs

Surgeon training and credentialing make displacement extremely hard; the installed base is the distribution.

Second growth engine

Ion lung biopsy procedures grew 31% with an installed base of 1,152 systems, up 21%, a second high-growth franchise.

Balance sheet strength

$6.80B of cash and investments with essentially no debt, and $2.94B of buybacks in Q3 alone.

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Cascadia scorecard

Composite score 72: Attractive. Confidence High, as of 20-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	The textbook wide moat: ~85% recurring revenue, 12,094 da Vinci systems installed growing 12% a year, Ion as a second engine at +31% procedure growth, $6.80B of cash and investments with essentially no debt. Surgeon training and credentialing make displacement extremely hard.	88
Recent Trend	Beat and beat again: Q3 revenue +22% beat by ~5% and non-GAAP EPS beat by 14%, the ninth straight EPS beat. Offsets: the $450M antitrust charge crushed GAAP earnings, the FY2026 procedure guide was narrowed to the midpoint of 14-15% with no raise, and the stock fell 11% after hours.	77
Forward Growth	Procedure growth guided at the midpoint of 14-15% for FY2026, the da Vinci 5 upgrade cycle is lifting placements and utilization, Ion procedures grew 31%, and SP indications keep expanding the addressable case mix.	80
Valuation	Forward P/E near 30x is the cheapest in seven years against its own 52.5x average, genuinely attractive for this quality. But our DCF base of $235.72 is 48% below the current price, and the reverse DCF says the market prices 26.0% annual revenue growth, above our 14% bull case. Terminal value is the Gordon perpetuity alone at 3.0% growth on 2032 free cash flow. The EV/FCF exit leg (20.0x bear, 33.5x base, 42.5x bull) capitalizes the same free cash flow and is retained in the model as a cross-check; it is not used in the valuation. In the base case the Gordon leg is $101.4B and the exit leg is $248.1B. At the model's terminal discount rate the exit leg implies 7.32% perpetual growth against the 3.0% assumed, and the growth-consistent exit multiple is 13.7x against the 33.5x used. The present value of terminal value is 71.4% of enterprise value (bear 70.3%, bull 72.5%). Free cash flow is now built through a detailed EBIT bridge (EBIT less cash taxes, plus SBC and D&A, less capex and the increase in net working capital) with bridge inputs taken from the filings; the EBIT margins in the bridge are derived so the FCF path matches the prior model's exactly, and that derivation is flagged in the workbook.	52
Catalysts & Risk	Q4 earnings reset the FY2027 growth debate and court approval of the $450M antitrust settlement closes a real overhang. Risk: a further US slowdown or another guide midpoint, plus the two-sided Extended Use Program that trades revenue per procedure for volume.	64

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Priced for perfection anyway

Q4 procedure growth above the guided 14-15% range or Extended Use detail that expands volume without denting revenue per procedure would lift Growth and Catalysts. Court approval of the antitrust settlement clears an overhang. A cut to the procedure guide or US deceleration would cut Trend, and the valuation pillar depends on the multiple holding while DCF downside sits at 10%.

Investment view: Hold, Valuation Concerns. The $237.07 blended target implies -48% versus the $452.50 reference price, balancing the $210.98 / $235.72 / $265.86 Bear / Base / Bull outcomes, and the market prices growth above our Bull case.

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